Agenda Number: 18 | Section Name: PUBLIC HEARING | Account Number: 10-2021 | File ID: 26-11252

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Finance Department

MEETING DATE: June 01, 2026

SUBJECT:
Fiscal Year 2026-27 Proposed Budget and 2026-31 Capital Improvement Program — Review

RECOMMENDATION:
Review the fiscal year 2026-27 proposed budget and the 2026-31 Capital Improvement Program budget and conduct a public hearing prior to the scheduled adoption at the June 15, 2026, City Council meeting.

BACKGROUND:
Prior to the City Council's scheduled adoption of the fiscal year (FY) 2026-27 budget, it holds two public hearings to receive public comment on the proposed operating and capital budgets. This review of the budget is the first of those two public hearings.

FY 2026-27 is the first year of the City's two-year 2026-28 business plan and the focus is on developing the City's operating budget. As part of developing the budget, each Department reviewed their operating budgets in detail and proposed two-year budgets within the parameters set by the Finance Department. For the FY 2026-28 Business Plan, Finance staff directed Departments to maintain their baseline budgets which included making no new requests and working to maintain cost increases. The proposed budget also reflects the implementation of parts of the City's Financial Sustainability Plan, including cost recovery enhancements and expenditure controls. In addition, although the CIP is not typically emphasized during this budget cycle, staff did conduct a thorough review of the CIP given the completion of the facilities assessment and the need to prioritize facility improvements and funding within the newly established Capital Investment Reserve.

On April 20, 2026, Finance staff presented the City Council with a preview of the FY 2026-27 General Fund operating budget and the 2026-31 Five-Year CIP. Additionally, staff provided four scenarios for the General Fund ten-year forecast to illustrate potential fiscal outcomes based on property tax in-lieu of vehicle license fees (VLF) shortfalls and a potential elimination of Real Property Transfer Tax (RPTT). Following this meeting and the feedback provided by the City Council, staff worked to finalize the proposed budget. In addition, on May 21, 2026, the Measure S Oversight Committee met to review the proposed budget and CIP for the Measure S funds. At the meeting, the Committee voted to recommend the proposed budgets to the City Council and the Committee expressed their interest in prioritizing projects that fund pedestrian and bicycle safety.

The proposed FY 2026-27 citywide budget (for all funds) totals $356.5 million, which includes an operating budget of $290.3 million, and a capital budget of $66.3 million. The General Fund budget (including transfers) is proposed at $190.9 million. Key budget highlights are summarized in the City Manager's Letter of Transmittal, included in the opening section of the proposed budget book (Attachment 1), which was published on the City's website on May 28, 2026. Additional details on all the City's revenues and expenditures are also included throughout the budget book.

CITYWIDE PERSONNEL BUDGET

As part of the FY 2026-27 budget, proposed personnel cost increases have been incorporated into the budget. Personnel costs, including salaries, benefits and pension costs; increased about 9% as a whole due to previously negotiated COLA and equity increases as well as anticipated increases in health care and pension expenses. In addition, proposed personnel updates have been incorporated in the budget for the following departments: the City Manager's Office, Finance Department and Community Development. Upon approval, these classification changes will become effective as part of the adoption of the FY 2026-27 budget. Additional details on personnel changes are included in the Appendix section of the budget document.

Proposed changes include the reallocation of three existing positions and the addition of three unfunded positions:

- Reallocate 1.0 FTE Sustainability Analyst to 1.0 FTE Business Manager.
- Reallocate 1.0 FTE Business Systems Analyst to 1.0 FTE Management Analyst I/II.
- Reallocate 1.0 FTE Payroll Technician I/II to 1.0 FTE Payroll Analyst.
- Add 3.0 FTE Fellows, unfunded, to address strategic plan priority initiatives as one-time funding is available.

These proposed changes will have limited impact on the General Fund since the three new positions are unfunded, and most of the reallocated positions are funded by some General Fund as well as other funding sources. The anticipated net fiscal impact of all these changes is a savings of about $30,000 across funding sources.

CITYWIDE OPERATING BUDGET

The proposed budget for FY 2026-27 shows an increase of about 5% to Citywide operating costs. The increase is mostly due to inflationary cost increases of about 4% for outside goods and services and increases between 9-20% for utilities and insurance throughout the City. In addition, a few one-time purchases for equipment and vehicles are included in this year's budget to support storm and sewer maintenance.

FUND HIGHLIGHTS

The two most important funds to highlight for this budget are the two major operating funds: the General Fund and the Sewer Fund. This next section provides a high-level summary of the proposed FY 2026-27 budgets for these two funds and an executive summary of the 2026-31 five-year capital improvement plan.

General Fund

The General Fund is the City's primary operating fund and includes all the General Fund sub-funds; Measure S, Downtown Services, Recreation Services and Golf funds. The proposed FY 2026-27 General Fund budget totals $190.9 million, which includes $183.8 million for operating expenditures and $7.1 million in transfers out, including $2.5 million transfers to Debt Service Funds and $3.95 million for capital improvement projects (CIP). Below is a table summarizing the General Fund revenue and expenditures budget.

Table A – General Fund Revenue and Expenditures

GENERAL FUND	2025-26 Adopted Budget	2026-27 Proposed Budget	Change in $	Change in %
REVENUES				
Total Revenues	**175.8**	**173.9**	**(1.9)**	**-1.1%**
EXPENDITURES				
Personnel Costs	80.7	83.7	$2.9	3.6%
Pension Unfunded Liability	13.6	14.3	$0.7	5.0%
Non-Personnel Operating Expenses	42.3	45.1	$2.8	6.6%
SMC Fire and Legacy Costs	38.8	40.7	$2.0	5.1%
Operating Expenses	175.4	183.8	$8.5	4.8%
Transfers to CIP	8.9	4.0	($5.0)	-55.7%
Transfers Out - Debt Service & Other	3.5	3.1	($0.3)	-9.9%
Total Expenditures	**187.7**	**190.9**	**3.2**	**1.7%**
Surplus / (Deficit)	(11.9)	(17.0)		
General Fund - Beginning Fund Balance	119.5	87.4		
Transfer to Capital Invesment Reserve	(25.0)			
General Fund - Ending Fund Balance	$87.6	$70.3		

Total General Fund revenues are budgeted at $173.9 million, a decrease of $1.9 million (-1.1%) compared to the FY 2025-26 adopted budget. To account for current economic uncertainty and risks related to the Property Tax In-Lieu of Vehicle License Fee (VLF) backfill, the City has adopted conservative revenue assumptions. Key assumptions include:

- **Property tax**: $85.0 million, which includes 3.2% annual growth rate in secured property tax and the assumption that the State of California will not amend its FY 26-27 budget to backfill the City's share of the FY 24-25 Property Tax In-Lieu of VLF shortfall amounting to $6.9 million.
- **Sales tax** (including the ¼ cent Measure S): remaining relatively flat at $27.9 million.
- **Real Property Transfer Tax (RPTT):** $9.0 million, returning to baseline after one-time spikes in FY 2024-25
- **Transient occupancy tax (TOT)**, **franchise fees and business license tax** are expected to bring in $4.1 million, $3.5 million and $8.3 million, respectively.
- **Other revenues** are expected to maintain stable with moderate growth.

Total General Fund expenditures are budgeted at $190.9 million with key components including $83.7 million in personnel costs, reflecting projected increases in salaries and wages, healthcare, and pension costs; $14.3 million in the General Fund's share of the required payment for unfunded pension liability; $45.1 million in other non-personnel operating costs; and $40.7 million for Fire Services provided by the San Mateo Consolidated Fire Department (SMC Fire).

Total transfers out from the General Fund are projected to be $7.06 million, allocated as follows:

- $3.95 million for capital improvements, including $0.7 million from Measure S and $1.25 million from Measure CC funds (both sub-funds of the General Fund);
- $2.5 million from Measure S funds for debt service related to flood control and street reconstruction projects;
- $350,000 to the 2% Hotel Tax Fund to ensure the fund has sufficient funding for debt service; and
- $410,000 to the Equipment Replacement Fund to address building maintenance needs;

Given that projected expenditures exceed projected revenues by $17 million, it is anticipated that a draw on the Budget Stabilization Reserve will be required to balance the General Fund FY 2026-27 proposed budget. This budget is developed based on the assumption that the State will not fund the VLF shortfall of $6.9 million in FY 2026-27. If this assumption does not hold, the General Fund deficit could decrease to a $10 million deficit. However, in either case, the City will need to draw on the Budget Stabilization Reserve to maintain core services and continue providing for critical facility and

infrastructure needs.

At the same time, this budget does not assume that the proposed initiative that would eliminate the Real Property Transfer Tax passes or does not pass. Although this proposed ballot initiative poses a critical threat to the City's third largest source of revenue, the proposed measure would go into effect two years after passage and would not impact the FY 2026-27 budget.

This year's budget continues the trend of projecting a General Fund deficit for the City. The trend reflects the structural deficit that has been anticipated as the City's revenue base grows more slowly than expenses and is no longer sufficient to support operating expenses and needed investments in critical infrastructure. To address this development, the City has already begun working on its financial sustainability plan which includes pursuing activities and initiatives such as additional expenditure controls, additional revenue enhancements, cost recovery and accurate cost allocation, grant opportunities and economic development. Fortunately, the City has built a strong financial position with healthy reserves due to the fiscal prudence of the current and previous City Councils and administrations. These reserves provide staff with some room to take deliberate, long-term actions to balance the budget and restore fiscal stability.

Sewer Fund

The FY 2026-27 proposed budget projects $97.2 million in revenues, principally comprised of sewer service fees of $92.2 million. The projected revenues reflect the approved annual rate increase of 3.0% for FY 2026-27 to support the capital improvements and maintain ongoing services. Total expenses are projected to be $109.5 million, comprised of $40.5 million in operating expenses, $40.6 million in CIP, and $28.3 million in debt service. CIP expenses will largely be funded by proceeds from the low-interest loans from the state and federal government and reflect both the commitment to complete the Clean Water Program, a comprehensive plan to update the wastewater collection system and wastewater treatment plant (WWTP), and new post Clean Water Program improvements that are needed to update the older solids processing infrastructure within the WWTP operation.

Capital Budget and Five-Year CIP

The 2026-31 Five-Year CIP demonstrates the City's commitment to investing in the community, with a total of $349.2 million allocated to the CIP for the next five years. Each fiscal year, the City Council appropriates new funding for year one of the five-year CIP. The proposed FY 2026-27 capital budget is $66.3 million as summarized in the table below, as well as in detail in the proposed budget book (Attachment 1).

Table B: FY 2026-27 Capital Budget and 2026-2031 Five Year Capital Improvement Plan by Category

CAPITAL PROJECTS	2026-27 Proposed Budget	2027-28 Plan	2028-29 Plan	2029-30 Plan	2030-31 Plan	2026-31 5-Year Total
Bikeway/Pedestrian	$ 1,578,636	$ 1,560,000	$ 1,360,000	$ 1,350,000	$ 1,250,000	**$ 7,098,636**
Bridges	$ 75,000	$ 75,000	$ 75,000	$ 75,000	$ 75,000	**$ 375,000**
Buildings	$ 9,520,000	$ 6,570,000	$ 4,170,000	$ 4,650,000	$ 5,150,000	**$ 30,060,000**
Misc/Other	$ 655,000	$ 1,550,000	$ 1,000,000	$ -	$ -	**$ 3,205,000**
Parks	$ 2,100,677	$ 2,350,000	$ 3,175,000	$ 3,625,000	$ 2,225,000	**$ 13,475,677**
Sanitary Sewer	$ 39,775,000	$ 44,275,000	$ 47,175,000	$ 48,055,000	$ 48,775,000	**$228,055,000**
Stormwater	$ 3,200,000	$ 3,550,000	$ 3,550,000	$ 3,550,000	$ 3,550,000	**$ 17,400,000**
Streets	$ 8,967,600	$ 8,738,000	$ 9,208,000	$ 9,168,000	$ 8,988,000	**$ 45,069,600**
Traffic	$ 400,000	$ 950,000	$ 650,000	$ 2,050,000	$ 450,000	**$ 4,500,000**
Grand Total	$ 66,271,913	$ 69,618,000	$ 70,363,000	$ 72,523,000	$ 70,463,000	**$349,238,913**

GANN LIMIT

In addition to the adoption of the FY 2026-27 budget and capital improvement program, there will be one other action requested of Council as part of the overall budget adoption process on June 15th. This action is to establish the City's appropriations limit for FY 2026-27. The appropriations limit, which was originally established in 1979 by Proposition 4,

places a maximum limit of the appropriation of tax proceeds that can be made by the state, school districts, and local governments in California. California Government Code requires that the City annually adopt an appropriations limit for the upcoming fiscal year. The appropriations limit for the City for FY 2026-27 is $304,406,300, while the proceeds of taxes subject to the appropriations limit is $145,978,000. Therefore, the City is well below its appropriations limit for FY 2026-27.

BUDGET IMPACT:
There is no direct budgetary impact resulting from this report. The proposed 2026-27 budget contains a consolidated summary of proposed appropriations for 2026-27 in the Budget Overview section of the document, with comprehensive financial information at the fund level (Fund Information section) and the department level (Departments section) included as well.

ENVIRONMENTAL DETERMINATION:
This FY 2026-27 budget is not a project subject to CEQA, because it is a government fiscal activity which does not involve any commitment to any specific project which may result in a potentially significant physical impact on the environment. (CEQA Guidelines Section 15378(b)(4).)

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 — FY 2026-27 Proposed Budget

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Budget Message

Transmittal of Proposed Budget

City Manager's Letter of Transmittal

Honorable Mayor and Members of the City Council:

I am pleased to present for your review and consideration the proposed Fiscal Year (FY) 2026-27 operating budget and the FY 2026-27 Capital Budget along with the City's Capital Improvement Program (CIP) for the next five years. This budget reflects our commitment to maintaining core City services and making strategic investments in our community, while pursuing long-term fiscal health in a challenging and unpredictable environment.

The proposed citywide budget, including both operating and capital, is $356.5 million for fiscal year 2026-27. This budget focuses on funding core services, Council priorities, and community needs. The five-year CIP reflects the City's commitment to improve and maintain City facilities and infrastructure, by investing $350 million over the next five years in capital projects.

Overall, the Citywide budget does increase in expenditures, which reflects growing operational pressure as inflationary impacts and rising labor costs increasingly affect the cost of delivering services. Costs tied to outside goods and services, utilities, insurance, and personnel continue to trend upward, reflecting broader economic conditions that have materially increased the City's ongoing operating costs despite efforts to maintain a stable budget. Ongoing obligations such as payments toward unfunded pension liabilities also continue to place demands on the budget. In addition, funding challenges limit the City's ability to continually maintain and modernize aging facilities and infrastructure, with over $348 million in unfunded capital needs over the next five years. As the City continues to navigate this cost escalation, this budget proposes minimal programmatic expansion for FY 2026-27 given the estimated structural deficit tied to the provision of essential services.

Simultaneously, over the past year, the City's revenues have continued to face pressure, and the economic outlook has become increasingly uncertain. Factors such as global instability, persistently high inflation and interest rates, flattening sales tax revenues, and shortfalls in State Vehicle License Fee (VLF) funding are all affecting the City's financial picture. A recent proposed ballot measure to eliminate the City's real property transfer tax presents an added threat. In addition, there are broader risks to state and federal funding that could further impact local resources.

Taken together, these factors present a risk to the City's long-term financial stability. Owing to careful financial management by the City Council, both current and past, the City has built up reserves that can help bridge this gap in the short term. However, it is critical to balance this short-term solution with a proactive plan that ensures long-term sustainability. This includes maintaining core services, investing in critical infrastructure, managing costs responsibly, pursuing grant opportunities and increased economic development, and identifying reliable, ongoing sources of revenue – all facets of the City's active Financial Sustainability Plan.

Financial Sustainability Plan

While we continue to closely monitor these fiscal challenges, we are taking proactive steps through our Financial Sustainability Plan. The plan is already underway, with several actions in progress this past year and additional measures planned to help strengthen the City's financial future. Our first step has been to implement expenditure controls through freezing ten vacant positions, assessing and shifting appropriate expenses to Non-General Fund sources, generating benefit savings by reducing Worker's Compensation allocations given a robust existing balance, and implementing various operating budget savings through contract renegotiations. These measures are estimated to save us approximately $3.2 million. The FY 2026-27 budget also proposes $2 million less in General Fund funding for capital projects to help offset some of the anticipated operating deficit.

Next, we are exploring opportunities to strengthen revenues. We have improved cost recovery through revised funding and pricing models and selected a consultant to produce a citywide updated cost allocation plan. In addition, we continue to pursue grant opportunities through our grant consultant and work towards enhanced economic development through implementation of our Adopted Economic Workplan for 2026-2029, including exploration of billboard policies and assessment of City-owned properties for highest and best use. Finally, we are researching the possibility of placing a sales tax measure on the November 2026 ballot, an option that will be considered by this City Council in July.

As we remain attentive to the challenges ahead, this budget message provides an overview of the steps we will take to effectively serve our community and meet its needs in the immediate future and beyond. These steps are grounded in the City Council's Strategic Plan Priorities which guide our overall approach for the FY 2026-27 Citywide Operating Budget as well as the FY 2026-27 Capital Budget and Five-Year Capital Improvement Program (CIP) presented below.

City Council Strategic Plan Priorities

The City Council priorities for FY 2026-27 are part of the first citywide Strategic Plan, a tool to aid in the implementation and prioritization of the City's ten major Strategic Initiatives. The Strategic Plan is presented in full in the next section of the budget book. In FY 2026-27, the City will focus on four of the ten strategic initiatives: Climate Resiliency, Infrastructure, Transportation, and Housing. Below are some of the City Council adopted FY 2026-27 priorities; for a full list of priorities, please refer to the Priority Initiative subsection under the City Overview:

Climate Resiliency

- By October 2026, complete the Marina Lagoon Spot Dredging project, removing 2,000 cubic yards from the Lagoon.
- Install electric vehicle charging infrastructure at the Corporation Yard by January 2027 to enable the transition to a green City Fleet by 2035.
- Conduct community and business engagement to educate the community about the prohibition on gas leaf blowers that begins on January 1, 2027.

Infrastructure

- Complete the Central Park Playground project and East Hillsdale Park renovation project by December 2026.
- By June 2027, complete the King Pool and Resiliency Center conceptual design phase. This project will modernize the existing swim center and locker rooms into a multifunctional resilience center.
- In FY 2026-27, initiate design phase for a new Fire Station (27) that fully complies with all local, state, and national fire, building, and safety codes, ensuring a resilient, efficient, and mission-ready facility that supports operational needs and community safety.

Transportation

- Complete 100% design and secure Caltrans authorization to proceed forward to construction for the 19th Ave Fashion Island Multimodal Project by June 2027.
- Complete construction and closeout of Peninsula/Delaware Intersection Safety improvements by March 2027.
- Complete construction and closeout the Delaware Safe Routes to School Corridor project by September 2026.

Housing

- Hold a study session regarding the City's affordable housing funds and options for deployment by September 2026.
- Amend the City's Inclusionary Housing Ordinance and update the Below Market Rate Guidelines to increase the number of affordable units produced overall (based on a nexus study, if necessary) and to incentivize production of larger units and deeper affordability by December 2026.
- Review permitting procedures for single-family projects (modifications, remodels and new construction), and identify ways to speed up the process, reduce costs for homeowners and create efficiencies for city staff by simplifying and streamlining requirements and the permitting process and present findings and options for implementation at a study session by January 2027.

These annual City Council strategic plan priority initiatives are reflected in the FY 2026-27 Citywide Operating Budget and the FY 2026-27 Capital Budget. These budgets advance the priorities by focusing investments on both completing and initiating critical capital improvement projects, exploring modifications and improvements to policies and procedures, and advancing new programs and community engagement efforts.

2026-27 Citywide Operating Budget

The table below summarizes the FY 2026-27 business plans for Citywide operating expenditures:

CITYWIDE OPERATING BUDGET		2026-27 PROJECTED BUDGET
General Fund	$	183.8
Special Revenue and Debt Service Funds		31.6
Enterprise Funds		74.9
Total Operating Budget	**$**	**290.3**

In millions. Operating costs include debt service payments.

The City implements a two-year budget cycle, which requires that each department submit two one-year expenditure plans and revenue estimates to the City Council for approval. This is the first year of the two-year budget cycle.

The proposed FY 2026-27 Citywide operating budget is $290.3 million, which is an increase of approximately 6.4% over the adopted FY 2025-26 budget. This change reflects the general increase in the cost of operating the City at existing service levels and primarily shows increases in personnel costs due to negotiated bargaining unit contracts and benefits costs, insurance, and utilities.

As outlined, few new requests have been added to the budget as part of the current budget process. The proposed FY 2026-27 budget recommends generally maintaining merit staffing levels, with the reallocation of three existing positions and the addition of three unfunded positions. This puts the City at 557 Full Time Equivalents (FTE). Also, resources have been added to the personnel costs to fully fund the adopted labor agreements for all labor groups and provide for increases in benefits such as health insurance costs. A few changes have been made to non-personnel operating costs for the one-time purchase of equipment, but they represent only about $0.3 million, a small portion of the overall operating budget.

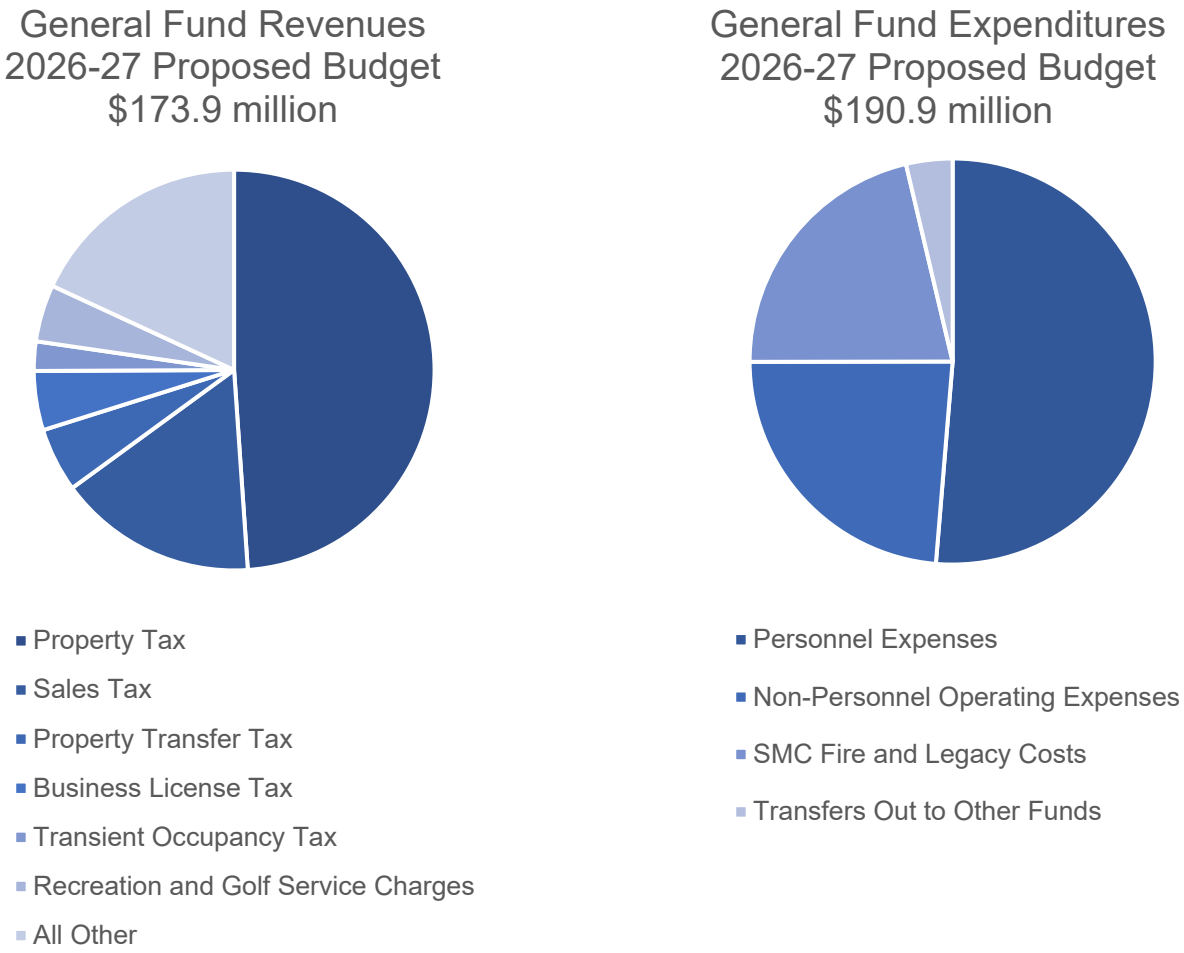
A summary of the changes to the personnel budget, as well as all other operational increases to the baseline budget, are included in the Appendix section of this document.

Transmittal of Proposed Budget

General Fund

The General Fund is the primary funding source for our core services. The FY 2026-27 proposed budget, including transfers out, is $190.9 million, an increase of 2.0% over the adopted FY 2025-26 budget of $187.8 million. This increase is the result of several factors, including rising personnel costs, especially increases due to negotiated labor contracts and benefits, rising utility and insurance costs, and rising pension costs.

The proposed budget reflects a moderate growth in most of the General Fund revenues. The revenue projection is based on the assumptions that the high inflation and interest rate environment will continue in the next year, at least. However, unlike the prior year budget, the FY 2026-27 revenue projections assume that the property tax in-lieu of vehicle license fees (VLF) shortfalls will not be backfilled by the State of California in full this year. As such, overall revenues are projected to decline relative to FY 2025-26. These key assumptions are discussed in detail in the Budget Overview section of this budget document.



Due to the increase in costs and the uncertainty in some revenues, it is projected that the City will have a budget deficit of $17.0 million for FY 2026-27 and will require use of the Budget Stabilization Reserve to fund everything currently programmed in the budget. Even though what is currently programmed includes discretionary items, the fact remains that the City will need to begin prioritizing among many competing resource demands over the next few years to ensure we remain in a good financial position.

Measure S

Measure S, the 0.25% transactions and use tax extension, generates about $7 million in tax revenue each year. This critical funding source makes a significant difference for our community by providing much-needed support for both operations and capital improvements.

The proposed FY 2026-27 budget showcases how Measure S funding is allocated to enhance our City core services and infrastructure. Measure S continues to provide $2.2 million to support ongoing police, library, and parks and recreation programs. In contrast to the $2-3 million typically allocated out of Measure S to support CIP projects, this budget proposes only $0.7 million in CIP contributions due to significant capital budgeting of Measure S funds over the last two years which has committed much of the fund's balance. The smaller allocation contributes to essential capital expenses while allowing the fund to build. The proposed allocations for FY 2026-27 include $0.1 million for the Neighborhood Traffic Management project, $1.5 million for the Citywide Street Rehabilitation Program, $0.6 million for the Citywide Roof Replacements project, $0.15 million for the Citywide Play Court Resurfacing project, $0.2 million for the Quick Build Mobility Program, and $0.15 million for the Peninsula/Delaware Intersection Safety Improvement project. These additions are offset by a $2 million reduction in the Smooth Street Program projects under the Citywide Street Reconstruction Package III which do not require additional funding going into FY 2026-27. On May 21, 2026, the Measure S Oversight Committee reviewed and recommended the Measure S FY 2026-27 budget, which has been incorporated in this proposed budget document.

2026-27 Capital Budget and 2026-31 Five-Year Capital Improvement Program (CIP)

The Capital Improvement Program (CIP) for FY 2026-27 totals $66.3 million. Major projects include the King Recreation and Swim Center, the New Fire Station #27, the Wastewater Treatment Plant (WWTP) Dissolved Air Flotation Tank Replacement (DAFT), and high priority stormwater improvements:

King Recreation and Swim Center: In FY 2026-27, $4.0 million of Capital Investment Reserve funding is allocated for the Phase I design work of the King Recreation and Swim Center project. The project involves the development of a new pool and updated locker room facilities along with other essential items to establish a resiliency center at the facility.

New Fire Station #27: The City will undertake the planning and design for the replacement of Fire Station 27 to address deficiencies in the existing facility. The project will deliver a modern fire station that supports current and future service demands, enhances safety and operational efficiency, and complies with applicable building and life-safety codes. The total estimated project cost is $11 million, including approximately $1.1 million allocated for planning and design. For FY 2026-27, $2.2 million is allocated from the Capital Investment Reserve for pre-construction design work.

WWTP DAFT Replacement: The City continues to rely on the old section of the Wastewater Treatment Plant facility for solids processing, creating a critical need for the replacement of aging and failing infrastructure with more reliable technology and proper functioning. This project will replace the existing failing Dissolved Air Flotation Tank (DAFT) with rotary drum thickeners. In FY 2026-27, $5 million is appropriated from the Sewer Fund for this project, with a total project cost of $17.7 million.

High Priority Stormwater Improvements: This $14.25 million project includes the planning, design, and construction of the "Very High" priority projects identified in the Storm Drain Master Plan (SDMP). It focuses on pump station upgrades, mainline improvements, and rehabilitation of existing storm drain infrastructure needed to provide at least a 10-year level of flood protection throughout the city, and up to a 100-year level of protection for major facilities such as pump stations and large channels. A total of $2.25 million is allocated in FY 2026-27 for this project.

In addition to these major initiatives, we have several other important capital and infrastructure projects programmed in the budget for FY 2026-27. Some of the notable projects include:

- *Marina Library Structural Improvements* – An additional allocation of $0.4 million to the project will help complete the improvements to resolve settlement issues at the facility including structural foundation and American with

Disabilities Act (ADA) improvements. The project will also cover additional improvements such as roof replacement, lighting, flooring, mechanical, electrical, plumbing and drainage improvements.

- *Quick Build Mobility Program* – This project implements quick safety projects for pedestrians, bicyclists, and active transportation. A total of $0.2 million is allocated for this project in FY 2026-27.
- *Citywide Roof Replacement* – This project involves the design of a waterproofing system for roofs that are beyond their useful life including the Beresford Recreation Center, Senior Center, City Hall, Hillsdale Library, and Shoreview Recreation Center. A total of $0.6 million is allocated for this project in FY 2026-27.

Finally, several studies and assessments are underway or planned for the upcoming fiscal year:

- *Lakeshore Center Feasibility Study* – The City has secured $1.2 million in federal funding to support the expansion of an affordable, full-day preschool for low-income families at the Lakeshore Center. A feasibility study is currently underway to assess options for the facility, including the provision of licensed full-time childcare and the potential for a public-private partnership. Anticipated improvements may include upgrades to plumbing and electrical systems, expansion of administrative space, installation of air conditioning, and compliance with ADA standards. Staff anticipate presenting the findings and recommendations of the feasibility study to the City Council by Fall 2026.
- *Corporation Yard Best Use Study* – This study will help the City explore future options for the existing site on Pacific Boulevard. This will cover concepts such as an improved corporation yard, a civic building, and various types of mixed-use or multi-zone subdivisions, and will serve as a basis for generating more ideas and gathering public feedback.
- *Storm Drain Master Plan* – This study is currently underway and will provide a comprehensive, prioritized CIP for the City's storm drainage/flood control infrastructure around the start of FY 2026-27. Preliminary potential CIP needs were presented to Council in January 2026.

These projects are a testament to the investment and commitment we make to our community even as we face economic and revenue uncertainties. These priority projects, along with other major capital investments, are discussed in detail in the Capital Improvement Program section of this budget document.

Fiscal Reality and Challenges

While we prioritize Council goals and community needs, this budget is developed amidst a complex and uncertain financial environment. We must acknowledge the current fiscal realities, including high inflation, economic uncertainty, and potential revenue shortfalls. Uncertainties related to our tax revenues raise concerns about our financial sustainability. Additionally, we also face increasing costs to provide services, ongoing pension obligations, and funding limitations for CIP projects.

Tax Revenue Uncertainties

San Mateo relies on tax revenues to fund our core services. Although secured property tax, the City's largest tax revenue, remains a stable revenue source, this revenue base is projecting a moderate 4.0% annual growth for the next few years. Sales tax, as the City's second largest tax revenue, is projected to stay flat with a moderate 1-2% annual growth. The City's third largest tax revenue, property transfer tax, fluctuates with economic conditions and the housing market. Due to high interest rates and a stable, but slow housing market, property transfer tax is anticipated to grow moderately with a $9.0 million revenue projection for the upcoming year. However, recent potential efforts to eliminate Real Property Transfer Tax at the state level pose a threat to this essential revenue source.

In addition, the City continues to face major financial uncertainty due to the State's property tax in-lieu of vehicle license fee (VLF). VLF is a key component of the City's property tax revenues, making up roughly 18% of our total property tax revenues, and about 8% of the total General Fund revenues. The absence of reliable funding sources for VLF from the State of California has become a major threat to the City's fiscal sustainability.

The City's FY 2026-27 proposed budget assumes that the State will not honor its VLF obligations to the City. Our share of FY 2023-24 county-wide VLF shortfalls is $6.6 million. Of this total, only $4.4 million has been backfilled to date, leaving an unrestored backfill of $2.2 million. In addition, the City does not anticipate receiving any portion of the $6.9 million FY 2024-25 shortfall repayment during FY 2026-27. These unrecovered funds have already exacerbated the City's budget deficit and will continue to do so should VLF shortfalls remain unreimbursed.

Pension Costs

Pension obligations continue to place a significant strain on our budget. CalPERS pension contribution requirements have increased significantly over the years due to a number of factors, including CalPERS lower-than-expected investment returns in prior years and changes in actuarial assumptions. The City's unfunded pension liability is currently about $290 million. Citywide pension costs are expected to continue to go up in FY 2026-27 as they did in FY 2025-26, though not by quite as much. For FY 2025-26, the General Fund pension total increased $1.2 million while an increase of $900,000 is expected in FY 2026-27. Some of the increase is due to historic changes to the unfunded pension liability resulting from the CalPERS's investment loss of -6.2% in FY 2021-22 and the 5.8% investment gain in FY 2022-23, which did not meet the CalPERS investment projections. In the last two completed fiscal years, CalPERS met its investment objectives with a 9.3% return in FY 2023-24 and a 12.1% in FY 2024-25. Thus, additional increases to the City's unfunded pension liability are mostly due to updates to the actuarial assumptions. Given this history, the City's overall pension costs are estimated to gradually keep increasing through FY 2030-31, after which pension requirements are expected to gradually ramp down, provided CalPERS can achieve its 6.8% annual investment return target for future years.

To demonstrate the impact of these increases on General Fund operations, the table below compares expected pension expenditures over the next ten years with our projected sales tax revenue, which is the second largest General Fund revenue source.

As the table indicates, our entire local 1% sales tax is not sufficient to cover the General Fund's share of the annual pension contribution requirement. This example demonstrates the type of pressure the increase in pension expenditures will put on the General Fund and City operations, as these expenditures are consuming an increasing share of our overall operating revenues.

Table 1: Comparison of General Fund 10-Year Pension Costs and Local 1% Sales Tax Projection (in millions)

FISCAL YEAR	GENERAL FUND PENSION NORMAL COSTS	GENERAL FUND PENSION UAL REQUIREMENT	GENERAL FUND TOTAL PENSION COSTS	PROJECTED 1% SALES TAX REVENUE	PENSION AS A PERCENTAGE OF 1% SALES TAX
2025-26	$6.5	$20.5	$27.0	$20.6	131%
2026-27	$6.3	$21.8	$28.1	$20.6	136%
2027-28	$6.4	$22.7	$29.1	$21.0	139%
2028-29	$6.4	$24.6	$31.0	$21.4	145%
2029-30	$6.5	$24.9	$31.4	$21.9	144%
2030-31	$6.5	$25.2	$31.7	$22.3	142%
2031-32	$6.5	$24.5	$31.0	$22.7	136%
2032-33	$6.5	$24.3	$30.8	$23.2	133%
2033-34	$6.6	$23.0	$29.6	$23.7	125%
2034-35	$6.6	$22.5	$29.1	$24.1	121%

* Pension normal cost presents the annual cost of providing pension benefit for active employees based on their one-year service.
**UAL (Unfunded Actuarial Liability) requirement is the annual payment based on the amortized dollar amount of the City's unfunded pension liability.

Transmittal of Proposed Budget

Aging City Facilities and Infrastructure

It is well-acknowledged that resources such as parks, open space, playgrounds, libraries, vibrant recreation facilities, smooth and safe streets, storm and flood controls, and clean water infrastructure are the essence of a thriving community. The City is committed to continuing to invest in our infrastructure and improve our facilities to a level the community deserves. However, maintaining and improving our aged City facilities and infrastructure requires significant funding, and right now, our resources are limited.

Streets and Transportation

Currently, we rely on special revenue sources, including Gas Tax (state gas taxes), Measures A and W (countywide transportation focused sales taxes), Measure M (countywide vehicle license fee), and Road Maintenance and Rehabilitation Account (SB-1 state gas tax) funds, totaling about $9.2 million in FY 2026-27 to fund streets and transportation projects. However, the annual cost of maintaining our streets alone nears $8.0 million, leaving little for other critical projects. To address the funding gap, we often turn to the General Fund and Measure S for extra funding support. This may become more and more challenging as the General Fund itself is experiencing a significant budget deficit.

Aging City Facilities

The General Fund, which supports all City facility repairs and improvements, faces increasing pressure. Although General Fund and Measure S combined provide about $6.4 million annually to fund CIP projects, the FY 2026-27 contribution proposes a $2 million reduction in General Fund funding for capital projects to help offset some of the anticipated operating deficit. Additionally, the Measure S allocation is reduced to allow the fund to build, given that significant capital budgeting of Measure S funds over the last two years has committed much of the fund's balance. At the same time, the budget recommends a one-time Measure CC contribution of $1.25 million to help address critical infrastructure needs and offset the lack of General Fund resources. Overall, the anticipated contribution totals from the General Fund, Measure S, and Measure CC are proposed at $4.2 million, with $2.25 million from the General Fund, $0.7 million from Measure S, and $1.25 million from Measure CC.

During FY 2025-26, the City completed the Citywide Comprehensive Facilities Condition Assessment to ensure effective investments and prioritize the many competing needs. Based on Council direction, staff is proposing $6.7 million in allocations from the Capital Investment Reserve to fund various projects identified in the key findings of the assessment. This funding is proposed to go towards project budget requests in FY 2026-27 for the King Recreation and Swim Center ($4.0 million), New Fire Station 27 ($2.2 million), Downtown Parking Analysis ($0.25 million), and Comprehensive Recreation and Aquatic Facilities Assessment ($0.25 million). This contribution of $6.7 million will leave a remaining balance of $18.3 million in the Capital Investment Reserve and cover funding gaps between the total General Fund, Measure S, and Measure CC contributions and project budget requests in FY 2026-27.

In addition to the proposed projects, many City facility projects were put on hold or deferred due to funding issues. These projects have high-level cost estimates that would need to be further refined at the point of becoming a funded project. Notable projects on the unfunded list include future phases of the King Center and Fire Station 27 after the currently funded phases are completed, the 28th Avenue Gap Closure project (construction funding), large-scale Marina Lagoon dredging (design and construction), and future full-scale implementation of Master Plan efforts including the forthcoming Storm Drain Master Plan and long-term implementation of the Bike Master Plan. This list highlights the significant need related to City facilities and infrastructure.

Although funding is a challenge, our goal is to continue working collaboratively, exploring funding options, and prioritizing needs to create a plan to build the infrastructure and facilities our community deserves.

Ongoing Fiscal Challenges and Actions

Historically, fiscal responsibility has remained a top priority for our City. Our City Council has continually committed to the prudent fiscal discipline that has upheld our strong financial position. Considered decision-making and proactive planning have allowed us to accumulate healthy reserves. This financial prudence allows the City to maintain current service levels,

invest in necessary improvements, and continue funding important capital projects for the upcoming fiscal year without having to take drastic measures in response to the current revenue uncertainties.

However, the City's General Fund ten-year forecast, which is included in this proposed budget, has highlighted the long-term financial challenges we face.

Table 2: General Fund Ten-Year Forecast – Practical Scenario (in millions)

GENERAL FUND	2025-26 Est.	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2034-36
REVENUES											
Total Revenues	**177.2**	**173.9**	**180.8**	**184.6**	**191.4**	**193.8**	**202.8**	**209.4**	**211.5**	**223.3**	**230.7**
EXPENDITURES											
Operating Expenses	174.0	183.8	186.2	190.6	195.4	198.9	204.2	209.2	213.3	218.3	223.5
Transfers to CIP	8.9	4.0	6.6	5.9	5.9	5.9	6.5	6.5	6.8	6.8	6.8
Transfers Out - Debt Service & Other	1.3	3.1	3.2	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3
Total Expenditures	**184.3**	**190.9**	**195.9**	**199.7**	**204.5**	**208.1**	**214.0**	**219.0**	**223.4**	**228.4**	**233.5**
Surplus / (Deficit)	(7.1)	(17.0)	(15.1)	(15.1)	(13.2)	(14.3)	(11.2)	(9.6)	(11.9)	(5.1)	(2.8)
General Fund - Beginning Fund Balance	119.5	87.4	71.9	56.8	41.7	28.5	14.2	3.0	(6.6)	(18.5)	(23.5)
Transfer to Capital Invesment Reserve	(25.0)										
General Fund - Ending Fund Balance	$87.4	$70.3	$56.8	$41.7	$28.5	$14.2	$3.0	($6.6)	($18.5)	($23.5)	($26.3)

The forecast, based on the middle-ground or "practical" forecasting scenario, assumes that the State and the County will not reach an agreement to fix the VLF funding issue in time for any shortfall reimbursement in FY 2026-27. Beginning in FY 2027-28, the model assumes that the VLF shortfall will be backfilled at 67 percent. Under this scenario, the City can maintain its service levels for a few more years. However, if economic conditions do not improve and no actions are taken to address the budget imbalance, we may risk depleting two of the buckets that make up the City's General Fund Reserves by FY 2028-29, including the City's Budget Stabilization and Pension Stabilization Reserves. Furthermore, by FY 2030-31, our General Fund balance may fall short of maintaining the 15% Contingency Reserve.

To balance the budget, the twofold strategy is straightforward – increase revenues and/or reduce spending. Given the current economic uncertainty and unresolved VLF shortfall issue, our revenues are expected to remain flat with only moderate annual growth. This growth will be insufficient to keep pace with our expenditures. To maintain the City's fiscal sustainability, we are implementing the measures outlined in the Financial Sustainability Plan as well as continuing to evaluate all the other potential revenue enhancement and expense reduction options. Revenue enhancement options include nurturing the economic health of our local businesses, supporting the development of new housing units, reviewing and optimizing fee increases, seeking grant funding, assessing new revenue opportunities, and considering potential future revenue ballot measures. At the same time, the City may employ citywide cost containment strategies to reduce expenses, such as reducing discretionary spending, cutting non-essential programs, implementing hiring freezes, eliminating current vacancies, reducing future vacancies through attrition, and/or implementing furloughs with corresponding service reductions. Additionally, investment in capital projects may be reduced or deferred.

The practical scenario largely adheres to the status quo as we wait for economic conditions to develop. Several variables will impact our financial outlook in the coming years. If the housing market ramps up, our tax revenue forecast may improve. If inflation returns to the Federal Reserve's 2% target, it will ease some of the rising cost pressures we are currently facing. Also, as long as the current economic uncertainties are managed and we continue to avoid a recession, the City has time to prepare for improved financial sustainability. And we will continue to advocate for VLF funding and look for a long-term solution. While we must be prepared for the worst, we hope that these factors, will turn in our favor.

Future of San Mateo

As the City manages this uncertain fiscal outlook, we anticipate greater clarity at mid-year regarding key factors, including VLF revenues, the status of Real Property Transfer Tax, and the development of global factors. In the interim, the City is fully committed to maintaining high-quality services and prioritizing strategic investments in infrastructure while upholding the Council's Strategic Plan. Utilizing the information and resources available to us, we will act with intention,

transparency, and prudence. The current year represents a period of careful monitoring and evaluation while the variables at hand evolve. As conditions unfold and we obtain additional insights, we anticipate providing more frequent updates to support timely, informed decisions that best serve the community.

Closing Remarks

As always, the budget process gives me an opportunity to present you with a measured, transparent, and forward-looking budget plan that elevates the City Council's priorities and the community's needs. Regardless of the challenges before us, we take pride in utilizing our resources to provide excellent service to our community and bolster the infrastructure that serves as the foundation of our City. We continue our commitment to engaging stakeholders, exploring new revenue options, and considering operational efficiencies, positioning ourselves to proactively address long-term financial challenges while maintaining our core services. Together, we will remain steadfast in our dedication to building a vibrant, dynamic, and resilient community now and into the future.

The development and delivery of the proposed budget to the Council is the culmination of months of work from staff throughout the organization, and it is a true team effort. I would like to thank the City Council for articulating a vision and setting priorities that helped us develop the budget. I would also like to thank my executive team, along with their respective staff members, for their efforts in supporting the budget development process. My thanks also go to the members of the Finance Department, Finance Director Abby Veeser, Deputy Finance Director Paniz Amirnasiri, Budget Manager Renee Halcon, Senior Accounting Assistant Samantha Wong, and Senior Management Analyst Karley Toffey, who drove the process to develop the budget and prepare this budget document. Finally, I commend Public Works Director Matt Fabry, Parks and Recreation Director Joanne Magrini, Deputy Director of Public Works Katherine Sheehan, Sustainability Analyst Andrea Chow and Business Manager Jamie Perez for their overall management of the capital budget and long-term capital plan.

Respectfully submitted,



Alex Khojikian
City Manager